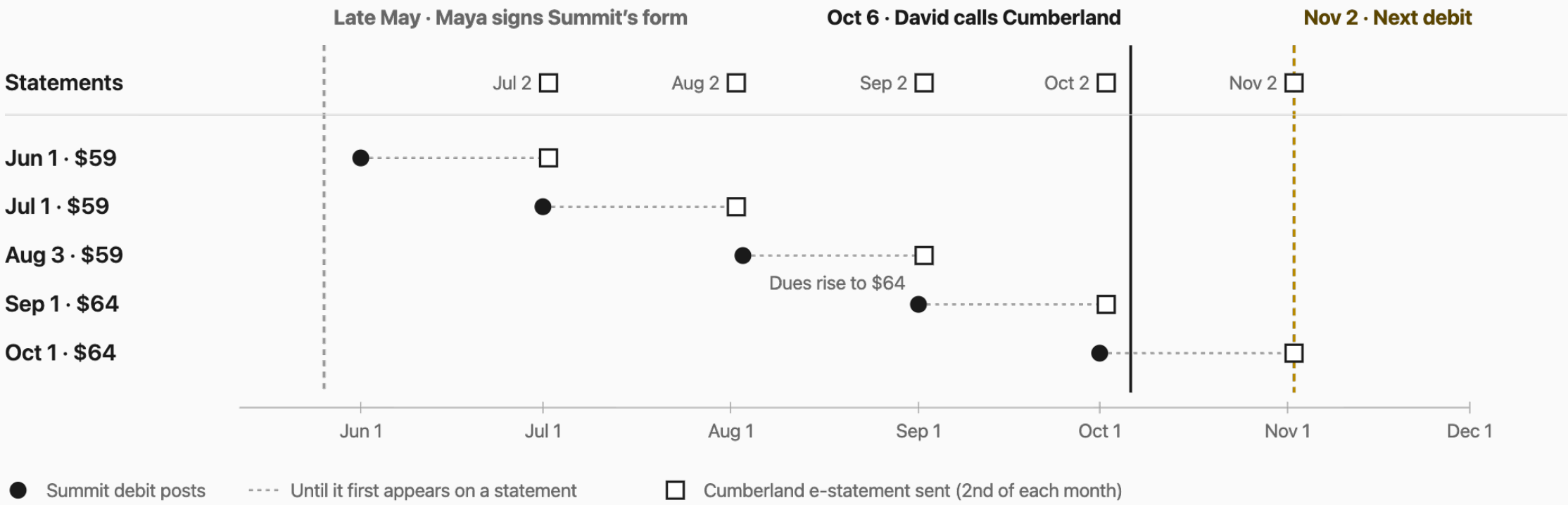
# Assume the debits were unauthorized

1. What is David’s liability for each of the five debits under § 1005.6?
2. What would Cumberland have to show to shift any of the loss to him?
3. For which debits is his October 6 call a timely notice of error under § 1005.11?
4. Does an untimely notice end the analysis?

12 C.F.R. §§ 1005.6, 1005.11 and Supplement I

REGULATION E · THE HALE DISPUTE

# The Hale timeline: what happened, and when




Statements sent on the 2nd of each month. David calls back Oct 7 after Maya admits she signed up.

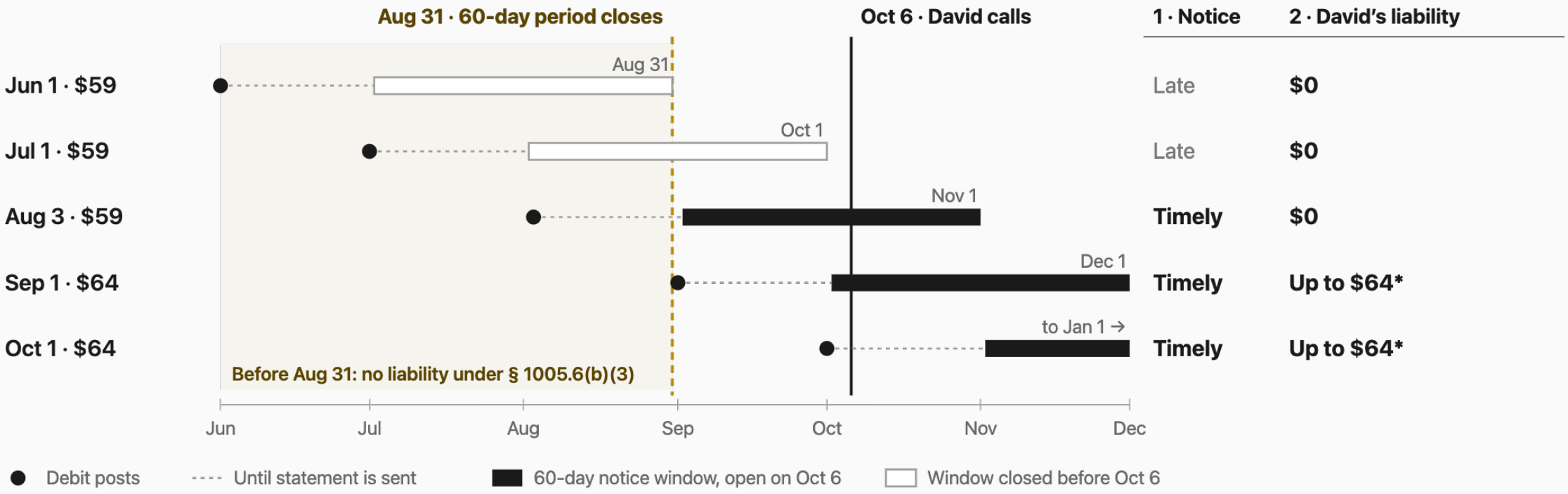
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REGULATION E · THE HALE DISPUTE

# “Past 60 days, nothing we can do” is wrong twice




| | 1 · Notice | 2 · David’s liability |
|---|---|---|
| Jun 1 · $59 | Late | $0 |
| Jul 1 · $59 | Late | $0 |
| Aug 3 · $59 | Timely | $0 |
| Sep 1 · $64 | Timely | Up to $64* |
| Oct 1 · $64 | Timely | Up to $64* |

* Liability only if Cumberland shows a report by Aug 31 would have prevented the debit.

12 C.F.R. §§ 1005.6(b)(3), 1005.11(b)(1); Supp. I, cmt. 11(b)(1)-7. Statements sent on the 2nd of each month.

# What Cumberland’s representative told David

1. “The June and July charges are past 60 days, so there’s nothing we can do on those.”
2. “For the rest, you’ll need to contact the merchant first.”
3. “If you come into a branch, you can sign a fraud statement for the recent ones.”

How does each statement hold up under Regulation E?